

# Financial Market Inflation Expectations

—— 5/2025



Czech National Bank — Financial Market Inflation Expectations — 5/2025

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## I. SUMMARY

Twelve domestic and two foreign analysts took part in the May survey of financial market inflation expectations. The data obtained indicate that inflation is expected to be slightly lower at the one-year horizon, as is growth in 2026. Nominal wages are also expected to rise more slowly both this year and next, with the outlook for next year containing a larger downward correction. None of the respondents expect key interest rates to be lowered at the next CNB Bank Board meeting. And the minor change in the forecast for the koruna exchange rate again reflects recent developments, i.e. a slight shift towards stronger levels.

| DOMESTIC ANALYSTS                                 | I. | II. | III. | IV. | V. | VI. | VII. | VIII. | IX. | X. | XI. | XII. |
|---------------------------------------------------|----|-----|------|-----|----|-----|------|-------|-----|----|-----|------|
| Jiří Polanský, Česká spořitelna                   | +  | +   | +    | +   | +  |     |      |       |     |    |     |      |
| Jan Vejrnělek, Komerční banka                     | +  | +   | +    | +   | +  |     |      |       |     |    |     |      |
| Patrik Rožumberský, Unicredit Global Research     | +  | +   | +    | +   | +  |     |      |       |     |    |     |      |
| Helena Horská, Martin Kron, Raiffeisenbank        | +  | +   | +    | +   | +  |     |      |       |     |    |     |      |
| Petr Dufek, Banka CREDITAS                        | +  | +   | +    | +   | +  |     |      |       |     |    |     |      |
| Petr Sklenář, J&T Banka                           | +  | +   | +    |     |    |     |      |       |     |    |     |      |
| Radomír Jác, Generali Investments CEE             | +  | +   | +    | +   | +  |     |      |       |     |    |     |      |
| David Havrlant, ING                               | +  | +   | +    | +   | +  |     |      |       |     |    |     |      |
| Kamil Kovář, Moody's Analytics                    | +  | +   |      | +   | +  |     |      |       |     |    |     |      |
| Jan Kudláček, Tomáš Lébl, Patrick Vyroubal, UNIQA | +  | +   | +    | +   | +  |     |      |       |     |    |     |      |
| Jaromír Šindel, ČBA                               |    |     | +    | +   |    |     |      |       |     |    |     |      |
| Lukáš Kovanda, Trinity Bank                       | +  | +   | +    | +   | +  |     |      |       |     |    |     |      |
| Michal Šoltés, RoklenFin                          | +  | +   | +    | +   | +  |     |      |       |     |    |     |      |
| Martin Janíčko, MND                               | +  | +   | +    | +   | +  |     |      |       |     |    |     |      |
| Jan Bureš, ČSOB                                   |    |     | +    |     |    |     |      |       |     |    |     |      |
| FOREIGN ANALYSTS                                  |    |     |      |     |    |     |      |       |     |    |     |      |
| Piotr Kalisz, Citi                                | +  | +   |      | +   | +  |     |      |       |     |    |     |      |
| Basak Edizgil, Goldman Sachs                      | +  | +   |      | +   | +  |     |      |       |     |    |     |      |
| Sili Tian, The Economist Intelligence Unit        |    |     |      | +   |    |     |      |       |     |    |     |      |
| Jose A. Cerveira, JP Morgan                       | +  | +   | +    | +   |    |     |      |       |     |    |     |      |

We would like to thank everyone who contributed to this survey of financial market inflation expectations.

Prague, 28 May 2025

## II. INFLATION

### FORECAST FOR Y/Y CPI GROWTH

(%)

| May<br>2025 | CPI |     |
|-------------|-----|-----|
|             | 1Y  | 3Y  |
| minimum     | 1.8 | 2.0 |
| average     | 2.1 | 2.1 |
| maximum     | 2.5 | 2.5 |

### 1Y AND 3Y FORECAST FOR CPI GROWTH

(%)

| Date of<br>Prediction | ANALYSTS |     | CNB (%) |
|-----------------------|----------|-----|---------|
|                       | 1Y       | 3Y  | 1Y      |
| V.24                  | 2.2      | 2.2 | 2Q: 1.9 |
| VII.24                | 2.1      | 2.1 |         |
| IX.24                 | 2.2      | 2.1 | 3Q: 1.9 |
| X.24                  | 2.2      | 2.2 |         |
| XII.24                | 2.3      | 2.2 | 4Q: 2.4 |
| II.25                 | 2.2      | 2.1 |         |
| IV.25                 | 2.2      | 2.1 | 1Q: 2.2 |
| V.25                  | 2.1      | 2.1 |         |

The consumer price index rose by 1.8% year on year in April, a marked slowdown compared to growth of 2.7% in March and the lowest level since March 2018. The slowdown in inflation was due mainly to lower fuel prices and a higher comparison base from last year. Goods prices rose by just 0.2% year on year, while services prices rose by 4.7%. In month-on-month terms, consumer prices declined slightly in April, by 0.1%. The decline was due mainly to cheaper alcoholic beverages and tobacco. A deeper month-on-month decline was prevented by rising prices in the home furnishings and household equipment sector and also by higher prices of accommodation services. In month-on-month terms, goods prices decreased by 0.3%, while services became 0.2% more expensive.

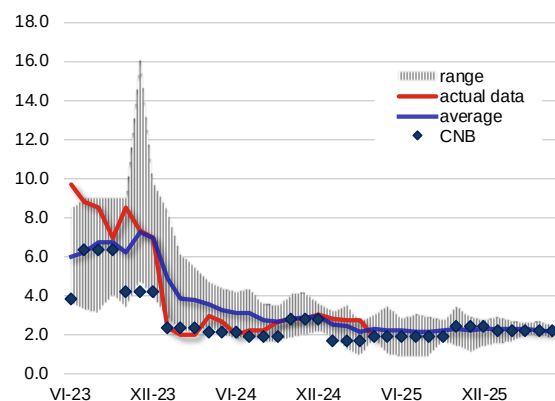
The analysts' view of future inflation saw only a minor change at the one-year horizon. According to the average estimate, annual inflation is expected to reach 2.1% in May next year, 0.1 percentage point lower than estimated in the previous survey. The range of the individual estimates narrowed slightly, due to a larger decline in the maximum value. The three-year forecast was unchanged at 2.1%. Extreme estimates and hence also their spread remain the same.

Although core inflation rose slightly in April (mainly due to continued growth in services prices), the analysts generally agree that headline inflation in the Czech Republic should stabilise around the CNB's 2% target in the second half of 2025. Growth in services prices is offset by goods prices. Although growth in the price level might accelerate slightly in the months ahead due to base effects, no overall increase in inflation pressures is expected. Restrictive domestic monetary policy and the current subdued trends in the global economy, which must absorb US tariffs, are expected to act in the opposite direction. External shocks, such as geopolitical tensions and global energy price volatility, pose the main risks to the predicted path.

*The CNB's spring forecast expects consumer prices to rise by 2.2% year on year in 2026 Q2.*

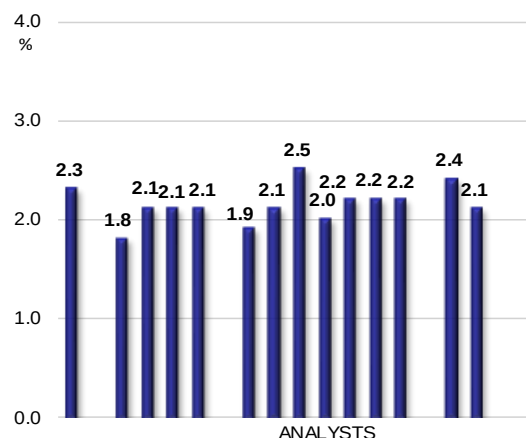
### CONSUMER PRICE INDEX

ACTUAL DATA AND 1Y PREDICTIONS OF ANALYSTS (AVERAGE) AND OF CNB (%)



### CONSUMER PRICE INDEX AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS (%)



III. GROSS DOMESTIC PRODUCT

FORECAST FOR GDP GROWTH

(%)

| May 2025 | current year | current+ 1Y |
|----------|--------------|-------------|
| minimum  | 1.4          | 1.2         |
| average  | 1.8          | 2.0         |
| maximum  | 2.3          | 2.8         |

FORECAST FOR GDP GROWTH

(%)

| Date of Prediction | current year | current+1Y |
|--------------------|--------------|------------|
| V.24               | 1.4          | 2.7        |
| VII.24             | 1.3          | 2.6        |
| IX.24              | 1.0          | 2.5        |
| X.24               | 1.0          | 2.4        |
| XII.24             | 1.0          | 2.0        |
| II.25              | 2.0          | 2.3        |
| IV.25              | 1.8          | 2.1        |
| V.25               | 1.8          | 2.0        |

According to a preliminary estimate by the Czech Statistical Office (CZSO), the increase in gross domestic product (GDP) accelerated in the first quarter of this year and saw a year-on-year increase of 2.0%. It was supported solely by domestic demand, especially household final consumption. By contrast, foreign trade made a negative contribution. The Czech economy expanded by 0.5% quarter on quarter in 2025 Q1. It was driven mainly by rising household final consumption expenditure. Investment and external demand also had a slight positive effect.

The analysts' views on domestic economic growth this year were unchanged from the April survey. On average, Czech GDP is still estimated to grow this year by 1.8% year on year. The data published reduced the uncertainty of the estimates, as their range narrowed both by raising the minimum and lowering the maximum. Unlike the unchanged estimate for this year, the outlook for next year saw a slight correction. Compared to the previous survey, the analysts are slightly less optimistic this time, expecting economic output to grow by only 2.0% next year, compared to the previous 2.1%. The range of individual forecasts for next year narrowed slightly as well. In this case, it was due to a slight decline in the maximum value.

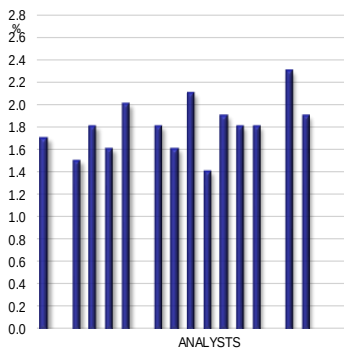
The analysts think that the newly published data are unlikely to significantly change the general view of economic growth. On the contrary, they confirm the continuing recovery of the Czech economy, despite medium-term low growth of the euro area economy. This is understandably positive, but persisting uncertainty about tariffs is negatively affecting the outlook for domestic economic growth next year. However, these adverse effects could be partly offset by potentially better trends in Germany stemming from the planned fiscal expansion.

US tariff policy represents a significant two-way risk. A deepening trade war would have a negative impact on the Czech economy, whereas a retreat from the high tariffs could boost not only domestic economic growth.

According to the CNB's spring forecast, GDP will grow by 2.0% in 2025 and accelerate to 2.1% in 2026.

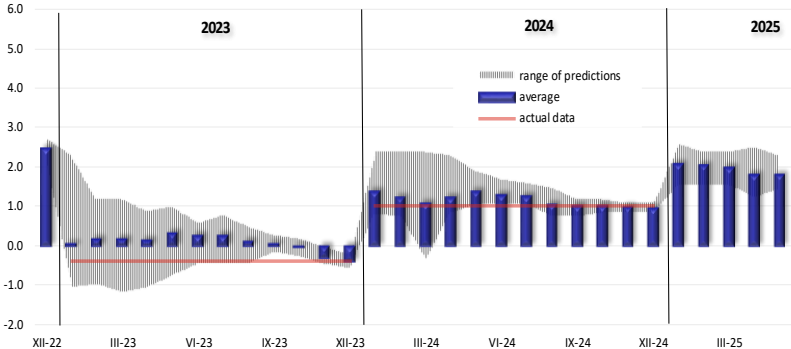
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR



GDP GROWTH AT END OF YEAR

AVERAGE AND RANGE OF PREDICTIONS



## IV. INTEREST RATES – 2W REPO, PRIBOR, IRS

### FORECAST FOR 2W REPO, 12M PRIBOR AND 5Y AND 10Y IRS

(%)

| Date of Prediction | 2W repo rate |      | 12M PRIBOR |      | 5Y IRS |      | 10Y IRS |      |
|--------------------|--------------|------|------------|------|--------|------|---------|------|
|                    | 1M           | 1Y   | 1M         | 1Y   | 1M     | 1Y   | 1M      | 1Y   |
| V.24               | 4.99         | 3.66 | 4.55       | 3.66 | 3.86   | 3.54 | 3.93    | 3.65 |
| VII.24             | 4.51         | 3.35 | 4.21       | 3.42 | 3.58   | 3.45 | 3.66    | 3.55 |
| IX.24              | 4.25         | 3.36 | 3.73       | 3.34 | 3.29   | 3.39 | 3.43    | 3.50 |
| X.24               | 4.01         | 3.25 | 3.67       | 3.28 | 3.38   | 3.35 | 3.53    | 3.50 |
| XII.24             | 3.95         | 3.27 | 3.65       | 3.29 | 3.59   | 3.47 | 3.70    | 3.61 |
| II.25              | 3.70         | 3.16 | 3.54       | 3.31 | 3.60   | 3.46 | 3.75    | 3.64 |
| IV.25              | 3.59         | 3.13 | 3.42       | 3.26 | 3.38   | 3.40 | 3.65    | 3.64 |
| V.25               | 3.46         | 3.05 | 3.40       | 3.24 | 3.43   | 3.37 | 3.69    | 3.61 |

### FORECASTS: MINIMUM, AVERAGE AND MAXIMUM 2W REPO, 12M PRIBOR, 5Y AND 10Y IRS

(%)

| May 2025 | 2W repo rate |      | 12M PRIBOR |      | 5Y IRS |      | 10Y IRS |      |
|----------|--------------|------|------------|------|--------|------|---------|------|
|          | 1M           | 1Y   | 1M         | 1Y   | 1M     | 1Y   | 1M      | 1Y   |
| minimum  | 3.25         | 2.75 | 3.35       | 2.75 | 3.30   | 2.70 | 3.50    | 2.80 |
| average  | 3.46         | 3.05 | 3.40       | 3.24 | 3.43   | 3.37 | 3.69    | 3.61 |
| maximum  | 3.50         | 3.50 | 3.50       | 3.60 | 3.51   | 3.65 | 4.00    | 3.90 |

### ACTUAL INDICATOR VALUES AS OF FORECAST DEADLINE

(%)

|       | 2W repo rate | 12M PRIBOR | 5Y IRS | 10Y IRS |
|-------|--------------|------------|--------|---------|
| 15.5. | 3.50         | 3.37       | 3.55   | 3.83    |

After the May cut in key interest rates, none of the analysts expects the following (i.e. June) meeting to bring a further easing of monetary policy by the CNB. All the respondents thus expect the 2W repo rate to stand at 3.50% in the middle of this year. This is due to the CNB's cautious stance and related communications from CNB Bank Board members. According to some opinions, these communications put a greater emphasis on inflationary risks and hence a need to maintain tight monetary policy.

Favourable inflation trends, only modest growth in the domestic economy and the still slightly restrictive monetary policy will provide room for a further decline in the CNB's key interest rates at the one-year horizon. It is thus expected on average that the CNB has not ended its monetary policy easing and the 2W repo rate could thus be lowered by 25 basis points almost twice in the next 12 months. The first decrease could potentially occur at the August meeting, as risks leading to weaker economic performance could materialise in the GDP trends for the second quarter of this year.

### ANALYSTS' FORECAST – 2W REPO RATE LEVEL IN 1Y

(%)

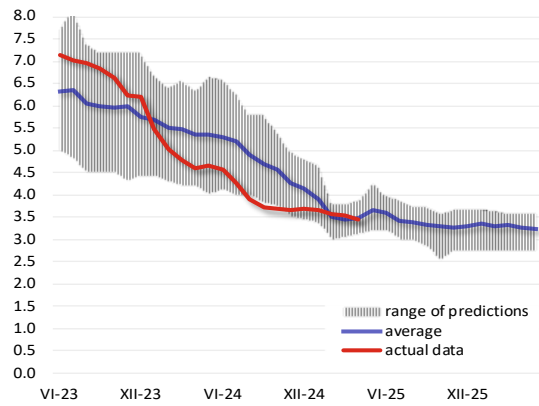
| 2W repo rate level in 1Y (%)        | 2.50 | 2.75 | 3.00 | 3.25 | 3.50 | 3.75 |
|-------------------------------------|------|------|------|------|------|------|
| number of analysts - current survey | 0    | 2    | 8    | 3    | 1    | 0    |
| -previous survey                    | 0    | 2    | 7    | 5    | 3    | 0    |

Domestic and global economic developments were reflected in a slight decline in the reference interbank rate (12M PRIBOR -5 basis points) since the April survey, while interest rate derivatives edged up (5Y IRS +25 basis points and 10Y IRS +20 basis points). However, the analysts' forecasts did not copy this trend this time, but showed mixed changes of -3 to +5 basis points. As a result, the one-month forecasts returned slightly above the one-year forecasts and thus signal expectations of a very gradual downward shift in reference interbank rates and interest rate derivatives over the next 12 months.

*The CNB's spring forecast implies a 2W repo rate set at 2.7% in 2026 Q2.*

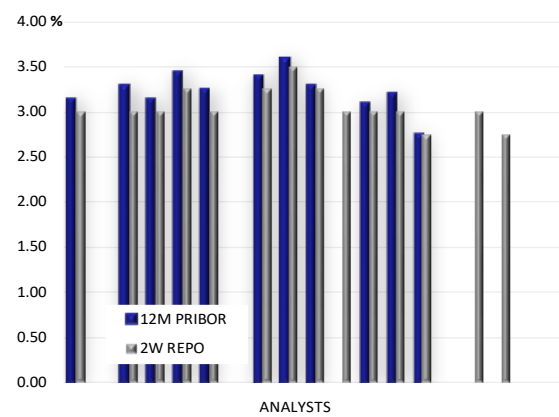
### 12M PRIBOR AT 1Y

ACTUAL DATA, AVERAGE AND RANGE OF PREDICTIONS



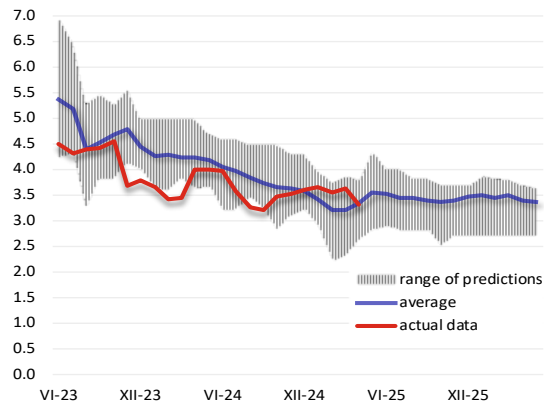
### 2W REPO AND 12M PRIBOR AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



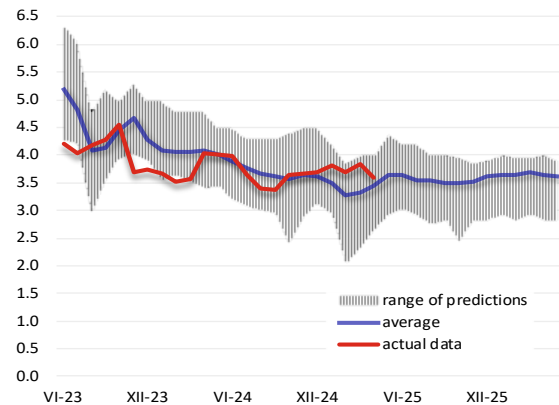
### 5Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



### 10Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



## V. EXCHANGE RATE

### 1M AND 1Y EXCHANGE RATE FORECAST

|        | 1M    | 1Y    |
|--------|-------|-------|
| V.24   | 24.86 | 24.68 |
| VII.24 | 25.21 | 24.70 |
| IX.24  | 25.07 | 24.75 |
| X.24   | 25.16 | 24.62 |
| XII.24 | 25.08 | 24.83 |
| II.25  | 25.13 | 24.93 |
| IV.25  | 25.05 | 24.88 |
| V.25   | 24.96 | 24.84 |

### EXCHANGE RATE FORECAST

| May 2025 | EUR/CZK |       |
|----------|---------|-------|
|          | 1M      | 1Y    |
| minimum  | 24.90   | 24.45 |
| average  | 24.96   | 24.84 |
| maximum  | 25.10   | 25.50 |

### ACTUAL EUR/CZK AS OF FORECAST DEADLINE

|       |       |
|-------|-------|
| 15.5. | 24.93 |
|-------|-------|

The koruna exchange rate changed only slightly between mid-April and the May survey deadline, appreciating from CZK 25.07 to the euro to CZK 24.93 to the euro. The analysts' average forecasts also shifted towards stronger levels, albeit to an even lesser extent, and are currently (like the current koruna exchange rate on the foreign exchange market) below CZK 25 to the euro in both time horizons under review. The monthly forecast changed by 9 hellers to CZK 24.96 to the euro, while in the case of the annual forecasts it was only by 4 hellers to CZK 24.84 to the euro.

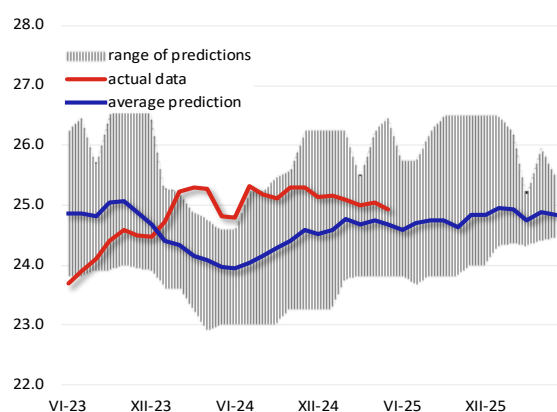
According to some analysts, the increased aversion to risky assets (and hence also Central European currencies) is offset by the still large interest rate differential and the sizeable surplus in foreign trade in the case of the Czech koruna. Weakening economic activity due to tariff barriers poses a risk to the koruna because of potential depreciation pressures. However, given the cautious approach to further easing of the CNB's monetary policy and the maintenance of the sizeable interest rate differential, the koruna is not expected to weaken significantly. Moreover, given the size of the international reserves, which are among the highest in the world relative to annual nominal GDP, some analysts are of the opinion that the CNB might prevent any excessive depreciation of the koruna by increasing the volume of sales of yields of foreign exchange reserves.

European economies might recover from a tariff shock at the turn of the year and risk aversion would also fade. This could contribute to appreciation tendencies for the Czech koruna and a return to a long-term modest appreciation trend, which will probably be more moderate than before the pandemic.

*The CNB's spring forecast expects the koruna to be CZK 25.3 to the euro in 2026 Q2.*

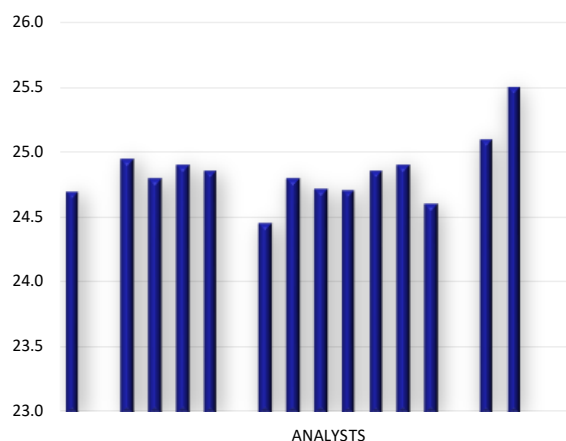
### EUR/CZK

#### ACTUAL DATA, 1Y PREDICTIONS AND THEIR RANGE



### EUR/CZK AT 1Y

#### PREDICTIONS OF INDIVIDUAL ANALYSTS



VI. NOMINAL WAGES

FORECAST FOR NOMINAL WAGE GROWTH (%)

| May 2025 | current year | current+1Y |
|----------|--------------|------------|
| minimum  | 5.0          | 4.0        |
| average  | 5.7          | 4.9        |
| maximum  | 6.2          | 5.8        |

FORECAST FOR NOMINAL WAGE GROWTH (%)

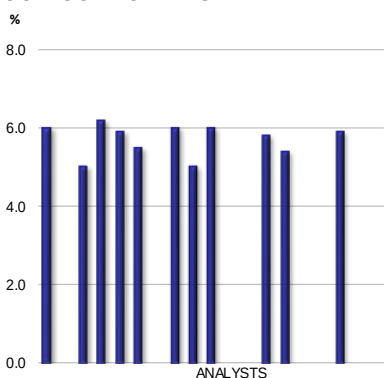
| Date of Prediction | current year | current+1Y |
|--------------------|--------------|------------|
| V.24               | 6.2          | 5.2        |
| VII.24             | 6.8          | 5.4        |
| IX.24              | 6.7          | 5.5        |
| X.24               | 6.7          | 5.5        |
| XII.24             | 6.8          | 5.7        |
| II.25              | 5.8          | 5.1        |
| IV.25              | 5.8          | 5.1        |
| IV.25              | 5.7          | 4.9        |

The Labour Office registered 319,000 job seekers at the end of this April, a figure almost 4,000 lower than at the end of March. The unemployment rate stayed at 4.3%. This is 0.6 percentage point higher than at the end of last April. The number of vacancies also rose by a further 4,000 month on month to almost 96,000. According to the Labour Force Survey, the ratio of the unemployed to economically active was 2.7% in March. The employment rate rose by 1.3 percentage points year on year to 75.9%.

The analysts think that the unemployment rate could rise slightly more due to weaker economic performance, as industrial firms in particular are adversely affected by the stagnation of the German economy. However, the decline should not be at all dramatic, although nominal wage growth in the Czech Republic could slow. Compared to the previous survey, expected wage growth has therefore been revised downwards, more so for the outlook for next year. On average, the analysts expect wages to increase by 5.7% this year, 0.1 percentage point less than in the previous survey. The outlook for next year expects wage growth to slow to 4.9%. This is 0.2 percentage point lower than in April.

The CNB spring forecast expects nominal wages to increase by 6.1% in 2025, with growth slowing to 4.9% in 2026.

INDIVIDUAL 1Y PREDICTIONS  
OUTLOOK FOR THIS YEAR



NOMINAL WAGE GROWTH  
END OF CURRENT YEAR: AVERAGE AND RANGE OF PREDICTIONS (%)

